

IX

The Heresies of John Maynard Keynes

A few years before his death, Thorstein Veblen had done something oddly out of character—he had taken a plunge in the stock market. A friend had recommended an oil stock, and Veblen, thinking of the financial problems of old age, had risked a part of his savings. He made a little money on the venture at first, but his inseparable bad luck plagued him—no sooner had the stock gone up than it was cited in the current oil scandals. His investment eventually became worthless.

The incident is unimportant in itself except insofar as it reveals one more tiny chink in Veblen's armor. And yet, in another context, this pathetic misadventure is curiously revealing. For Veblen himself had fallen victim to the same dazzling lure that blinded America: when the most disenchanted of its observers could be tempted to swallow a draught, is there any wonder that the country was drunk with the elixir of prosperity?

Certainly the signs of prosperity were visible at every hand. America in the late 1920s had found jobs for 45 million of its citizens to whom it paid some \$77 billions in wages rents, profits, and interest—a flood of income comparable to nothing the world had ever seen. When Her-

with the help of God be within sight of the day when simplicity, “We shall soon

poverty will be banished from the nation,” he may have been shortsighted-as who was not?-but he rested his case on the incontrovertible fact that the average American family lived better, ate better, dressed better and enjoyed more of the amenities of life than had any average family hitherto in the history of the world.

The nation was possessed of a new vision, one a great deal more uplifting than the buccaneering ideals of the robber barons. John J. Raskob, chairman of the Democratic party, gave it precise expression in the title of an article he wrote for the Ladies Home Journal: “Even-body Ought to Be Rich” “If a man saves \$15 a week” wrote Raskob, and invests in good common stocks, at the end of twenty years he will have at least \$80,000 and an income from investments of around \$400 a month. He will be rich.”

That bit of arithmetic merely presupposed that such a man would keep reinvesting his dividends, figured at about six per cent a year. But there was an even more alluring road to riches. Had a devotee of Raskob’s formula spent his dividends and merely allowed his money to increase with the trend of stock prices, he would have achieved his goal of wealth just as rapidly and a good deal less painfully. Suppose he had bought stock in 1921 with the \$780 he would have saved at \$15 a week. By 1922 his money would be worth \$1,092. If he then added another \$780 yearly he would have found himself worth \$4,800 in 1925, \$6,900 a year later, \$8,800 in 1927, and an incredible \$16,000 in 1928. Incredible? By May, 1929, he would have figured his worldly wealth at over \$21,000: in less than nine years his savings of \$7,020 would have tripled. And when the Great Bull Market had gone on for nearly half a generation in an almost uninterrupted rise, who could be blamed for thinking this the royal road to riches? Barber or bootblack, banker or businessman, everyone gambled and everyone won, and the only question in most people’s minds was why they had never thought of it before.

It is hardly necessary to dwell upon the sequel. In that awful last week of October, 1929, the market collapsed.

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To the brokers on the floor of the Stock Exchange it must have been as if Niagara had suddenly burst through the windows, for a cataract of unmanageable selling converged on the market place. In sheer exhaustion brokers wept and tore their collars; they watched stupefied as immense fortunes melted like spun sugar; they shouted themselves hoarse trying to attract the attention of a buyer. The grim jokes of the period speak for themselves: it was said that with every share of Goldman Sachs you got a complimentary revolver, and that when you booked a hotel room the clerk inquired, "For sleeping or jumping?"

When the debris was swept away the wreckage was fearful to behold. In two insane months the market lost all the ground it had gained in two manic years; \$40 billion of values simply disappeared. By the end of three years our investor's inflated paper fortune of \$21,000 had diminished by eighty per cent; his original \$7,000 of savings was worth barely \$4,000. The vision of Every Man a Wealthy Man had been shown up as an hallucination.

In retrospect it was inevitable. The stock market had been built on a honeycomb of loans that could bear just so much strain and no more. And more than that, there were shaky timbers and rotten wood in the foundation which propped up the magnificent show of prosperity. Chairman Raskob's formula for retirement was arithmetically accurate enough, all right, but it left unanswered the important question of how a man was to save \$15 out of an average pay envelope which came to only \$30.

The national flood of income was indubitably imposing in its bulk, but when one followed its course into its millions of terminal rivulets, it was apparent that the nation as a whole benefited very unevenly from its flow. Some twenty-four thousand families at the apex of the social pyramid received a stream of income three times as large as six million families squashed at the bottom-the average income of the fortunate families at the peak was six hundred and thirty times the average income of the fam-

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two million citizens out of work, and ignored behind their facade of classical marble, banks were failing at the rate of two a day for six years before the crash. And then there was the fact that the average American had used his prosperity in a suicidal way; he had mortgaged himself up to his neck, had extended his resources dangerously under the temptation of installment buying, and then had ensured his fate by eagerly buying fantastic quantities of stock—some 300 million shares, it is estimated—not outright, but on margin.

Inevitable or not, it was far from visible at the time. It was a rare day that did not carry the news of some typical figure assuring the nation of its basic health. Even so eminent an economist as Irving Fisher of Yale was lulled by the superficial evidences of prosperity into announcing that we were marching along a “permanently high plateau” a figure of speech given a macabre humor by the fact that stocks fell off the brink of that plateau one week to the day after he made his statement.

But dramatic as it was, it was not the wild decline of the stock market which most damaged the faith of a generation firmly wedded to the conviction of never-ending prosperity. It was what happened at home. A few items from those dreary years may serve to illustrate. In Muncie, Indiana—the city made famous by its selection as “Middletown”—every fourth factory worker lost his job by the end of 1930. In Chicago the majority of working girls were earning less than twenty-five cents an hour and a quarter of them made less than ten cents. In New York’s Bowery alone, two thousand jobless crowded into breadlines every day. In the nation as a whole, residential construction fell by ninety-five per cent. Nine million savings accounts were lost. Eighty-five thousand businesses failed. The national volume of salaries dwindled forty per cent; dividends fifty-six per cent; wages sixty per cent.

And the worst of it, the most depressing aspect of the Great Depression, was that there seemed to be no end to it, no turning point, no relief. In 1930, the nation manfully whistled “Happy Days Are Here Again,” but the national income precipitously fell from \$87 billions to \$5 billions.

In 1931 the country sang “I’ve Got Five Dollars ; mean- while its income plummeted to \$59 billions. In 1932 the song was grimmer: “Brother Can You Spare a Dime? — national income had dwindled to a miserable \$42 billions.

By 1933 the nation was virtually prostrate. The income of the country was down to \$39 billions. Over half the prosperity of only four years back had vanished without a trace; the average standard of living was back where it had been twenty years before. On street corners, in homes, in Hoovervilles, 14 million unemployed sat, haunt- ing the land. It seemed as if the proud spirit of hope had been permanently crushed out of America.

It was the unemployment that was hardest to bear. The jobless millions were like an embolism in the nation’s vital circulation; and while their indisputable existence argued more forcibly than any text that something was wrong with the system, the economists wrung their hands and racked their brains and called upon the spirit of Adam Smith, but could offer neither diagnosis nor rem- edy. Unemployment—this kind of unemployment—was simply not listed among the possible ills of the system: it was absurd, impossible, unreasonable, and paradoxical. But it was there.

It would seem logical that the man who would seek to solve this impossible paradox of not enough production existing side by side with men fruitlessly seeking work would be a Left-winger, an economist with strong sym- pathies for the proletariat, an angry man. Nothing could be further from the fact. The man who tackled it was al- most a dilettante with nothing like a chip on his shoulder. The simple truth was that his talents inclined in every direction. He had, for example, written a most recondite book on mathematical probability, a book that Bertrand Bussell had declared “impossible to praise too highly”* then he had gone on to match his skill in abstruse logic of £makmgfTney~he accumulated a fortune to v ^ 6 m°St treacherous of all roads

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But this is only a sample of his many-sidedness. He was an economist, of course—a Cambridge don with all the dignity and erudition that go with such an appointment—but when it came to choosing a wife he eschewed the ladies of learning and picked the leading ballerina from Diaghilev's famous company. He managed to be simultaneously the darling of the Bloomsbury set, the cluster of Britain's most avant-garde intellectual brilliants, and also the chairman of a life insurance company, a niche in life rarely noted for its intellectual abandon. He was a pillar of stability in delicate matters of international diplomacy, but his official correctness did not prevent him from acquiring a knowledge of other European politicians that included their mistresses, neuroses, and financial prejudices. He collected modern art before it was fashionable to do so, but at the same time he was a classicist with the finest private collection of Newton's writings in the world. He ran a theater, and he came to be a Director of the Bank of England. He knew Roosevelt and Churchill and also Bernard Shaw and Pablo Picasso. He played bridge like a speculator, preferring a spectacular play to a sound contract, and solitaire like a statistician, noting how long it took for the game to come out twice running. And he once claimed that he had but one regret in life—he wished he had drunk more champagne.

His name was John Maynard Keynes, an old British name (pronounced to rhyme with "rains") that could be traced back to one William de Cahagnes and 1066. Keynes was a traditionalist; he liked to think that greatness ran in families, and it is true that his own father was John Neville Keynes, an illustrious enough economist in his own right. But it took more than the ordinary gifts of heritage to account for the son; it was as if the talents that would have sufficed half a dozen men were by happy accident crowded into one person.

By a coincidence he was born in 1883, in the very year

that Karl Marx passed away. But the two economists who thus touched each other in time, although each was to exert the profoundest influence on the philosophy of the capitalist system, could hardly have differed from one another more. Marx was bitter, at bay, heavy and disappointed; as we know, he was the draftsman of *Capitalism Doomed*. Keynes loved life and sailed through it buoyant, at ease, and consummately successful to become the architect of *Capitalism Viable*. Perhaps we can trace Marx's passionate prophecy of collapse to the thread of neurotic failure which marked his practical life; if so we can surely credit Keynes's persuasive salesmanship of reconstruction to the exhilaration and achievement which marked his.

His boyhood was Victorian, Old School, and premonitory of brilliance. At age four and a half he was already puzzling out for himself the economic meaning of interest; at six he was wondering about how his brain worked; at seven his father found him a "thoroughly delightful companion. He went to a Mr. Goodchild's preparatory school where he gave evidence of his flair for handling his fellow men: he had a "slave" who obediently trailed him with his schoolbooks, a service rendered in exchange for assistance with the knottier problems of homework, and a "commercial treaty" with another boy whom he disliked: Keynes agreed to get the boy one book a week out of the library in exchange for which the party of the second part agreed never to approach within fifteen yards of the party of the first.

At fourteen he applied for and won a scholarship to Eton. Horror stories on English public schools to the contrary he was neither sadistically abused nor intellectually quashed. He bloomed; his marks were superlative; he won prizes by the score; bought himself a lavender waistcoat; acquired a taste for champagne; grew tall and

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eadmaster made a speech; Keynes described it perfectly

in five phrases: “It was the usual stuff. Ought to show our thankfulness; remember dignity of school; if anything done must be of best; as always before.”

Eton was a vast success; Kings College at Cambridge was to be a triumph. Alfred Marshall begged him to become a full-time economist; Professor Pigou—Marshall's heir-to-be—had him to breakfast once a week. He was elected Secretary of the Union, a post automatically carrying an eventual presidency of one of the most famous nongovernmental debating societies in the world; he was sought out by Leonard Woolf and Lytton Strachey and the nucleus of what was to be known as the Bloomsbury group came into being; he climbed mountains (Strachey complained at the “multitudes of imbecile mountains”); bought books; stayed up in the small hours arguing; shone. He was a phenomenon.

But even phenomena must eat and there came the question of what to do. He had very little money and the prospect of an academic career offered less. And he had larger visions: “I want to manage a railway or organize a Trust,” he wrote to Strachey; “it is so easy and fascinating to master the principles of these things.”

No one offered him a railway or a trust and he chose instead to try the public route to success. He took the civil service examinations with an apparent indifference that made Strachey's sister ask if his insouciance was a pose. No, he had it all figured out and so what was the use of fretting; he was sure to land in the top ten. Of course he did; he was second, and his lowest mark was in the economics section of the examination. The examiners presumably knew less than I did, he explained later, a remark which would be unforgivably presumptuous if it were not, in this case, entirely true.

Hence, in 1907 to the India Office. Keynes hated it. He was spending his freshest energies at home on an early draft of his mathematical treatise, and he found the post of a minor official in public office a far cry from running a railway. After two years he had had enough. His efforts he declared, consisted in having one pedigreed bull shipped to Bombay, and all that he had found in govern-

ment work was that an ill-considered remark might result in your being “snubbed.” He resigned and went back to Cambridge. But his years could not have been so utterly useless. From what he learned of Indian affairs he wrote a book in 1913 on Indian Currency and Finance which everyone admitted to be a small masterpiece, and when a Royal Commission was formed that same year to look into the Indian currency problem Keynes at twenty-nine was asked to be a member—a remarkable honor.

Cambridge was more to his liking. He was an immediate success and as a mark of the esteem in which he was held, he was given the editorship of the Economic Journal, Britain's most influential economic publication—a post he was to hold for thirty-three years.

Even more pleasant than Cambridge was Bloomsbury. Bloomsbury was both a place and a state of mind; the little group of intellectuals to whom Keynes had belonged as an undergraduate had now acquired a home, a philosophy, and a reputation. Perhaps not more than twenty or thirty people ever belonged to that charmed circle, but their opinions set the artistic standards of England—after all, it included Leonard and Virginia Woolf, E. M. Forster, Clive Bell, Roger Fry, Lytton Strachey. If Bloomsbury smiled, a poet's name was made; if it frowned, a painter was *declassé*. It is said that it could use the word “really” in a dozen different intonations, of which sophisticated boredom was by no means the least. It was a group at once idealistic and cynical, courageous and fragile. And slightly mad: there was the incident known as the Dreadnought Hoax in which Virginia Woolf (then Stephen) and a few co-conspirators dressed up as the Emperor of Abyssinia and entourage and were thus escorted with honors aboard one of His Majesty's most closely guarded battleships.

In all of this, Keynes was a central figure; adviser, councilor, referee. He could talk about anything with complete assurance: William Walton the composer, Frederick Ashton the choreographer, and many another artist or professional was used to Keynes's “No, no, you're absolutely wrong about that . . .” His nickname, it might be

added was Pozzo, a sobriquet pinned on him after a Corsican diplomat known for his multifarious interests and his scheming mind.

It was a rather dilettantish beginning for one who to set the capitalist world by its ears.

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The war years somewhat disrupted Bloomsbury. Keynes was called to the Treasury and assigned to work on Britain's overseas finances. He must have been something of a phenomenon there, too. An anecdote in point was later recounted by an old associate: "There was an urgent need for Spanish pesetas. With difficulty a smallish sum was raked up. Keynes duly reported this to a relieved Secretary to the Treasury who remarked that at any rate for a short time we had a supply of pesetas. 'Oh no!' said Keynes. 'What!' said his horrified chief. 'I've sold them all; I'm going to break the market/ And he did/'

He was soon a key figure in the Treasury. His biographer and fellow economist, Roy Harrod, tells us that men of ripe judgment have declared that Keynes contributed more to winning the war than any other person in civil life. Be that as it may, he managed to find time for other things. On a financial mission to France he was seized with the bright idea that it would help balance the French accounts with the British if they sold some of their pictures to the National Gallery. He thus casually acquired a hundred thousand dollars' worth of Corot, Delacroix, Forain, Gauguin, Ingres, and Manet for the British, and managed to get a Cezanne for himself: Big Bertha was shelling Paris and prices were pleasantly depressed. Back in London he attended the ballet; Lydia Lopokova was dancing the part of the beauty in "The Good-Humored Ladies" and she was the rage. The Sitwells had her to a party where she and Keynes met. One can imagine Keynes with his classic English and Lydia with her classic struggles with English: "I dislike being in the country in August," she said, "because my legs get so bitten by barristers."

But all this was tangential to the main thing-the settlement of Europe after the war. Keynes was now an im-

portant personage—one of those unidentified men one sees standing behind the chair of a head of state ready to whisper a guiding word. He went to Paris as Deputy for the Chancellor of the Exchequer on the Supreme Economic Council with full power to make decisions and as representative of the Treasury at the Peace Conference itself. But he was only second echelon; he had a grandstand seat but no power to interfere directly in the game. It must have been an agony of frustration and impotence, for at close quarters he watched while Wilson was outmaneuvered by Clemenceau and the ideals of a humane peace replaced by the achievement of a vindictive one.

“It must be weeks since I’ve written anyone,” he wrote to his mother in 1919, “but I’ve been utterly worn out, partly by work, partly by depression at the evil around me. I’ve never been so miserable as for the last two or three weeks; the Peace is outrageous and impossible and can bring nothing but misfortune behind it.”

He dragged himself from the sickbed to protest against what he called the “murder of Vienna,” but he could not stop the tide. The peace was to be a Carthaginian one and Germany was to pay a sum of reparations so huge that it would force her into the most vicious practices of international trade in order to earn the pounds and francs and dollars. This was not the popular opinion, of course, but Keynes saw that in the Versailles Treaty lay the unwitting goad for an even more formidable resurgence of German autarchy and militarism.

He resigned in despair; then three days before the treaty was signed he began his polemic against it. He called it *The Economic Consequences of the Peace*; it appeared that December (he wrote it at top speed and buy), it made his name.

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It was brilliantly written and crushing. Keynes had seen the protagonists at work and his descriptions of them combined the skill of a novelist with the cutting insight of a Bloomsbury critic. He wrote of Clemenceau that “He

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But while his portraits sparkled, it was his analysis of the naim that had been done that was unforgettable For Keynes saw the Conference as a reckless settlement of political grudge in utter disregard of the pressing problem of the moment—the resuscitation of Europe into an integrating and functioning whole.

The Council of Four paid no attention to these issues, being preoccupied with others,—Clemenceau to crush the economic life of his enemy, Lloyd George to do a deal and bring home something that would pass muster for a week, the President to do nothing that was not just and right. It is an extraordinary fact that the fundamental problems of a Europe starving and disintegrating before their eyes, was the one question in which it was impossible to arouse the interest of the Four. Reparation was their main excursion into the economic field, and they settled it as a problem of theology, of politics, of electoral chicane, from every point of view except that of the economic future of the States whose destiny they were handling.

And he went on to deliver this solemn warning:

The danger confronting us, therefore, is the rapid depression of the standard of life of the European populations to a point which will mean actual starvation for some (a point already reached in Russia and approximately reached in Austria). Men will not always die quietly. For starvation, which brings to some lethargy and a helpless despair, drives other temperaments to the nervous instability of hysteria and to a mad despair. And these in their distress may overturn the remnants of organization, and submerge civilization itself in their attempts to satisfy desperately the overwhelming needs of the individual. This is the danger against which all our resources and courage and idealism must now cooperate.

The book was an immense success. The unworkability

of the treaty was manifest almost from the moment of its signing, but Keynes was the first to see it, to say it, and to suggest an outright revision. He became known as an economist of extraordinary foresight, and when the Dawes Plan in 1924 began the long process of undoing the impasse of 1919, his gift for prophecy was confirmed.

He was famous now, but there remained the question of what to do. He chose business, the riskiest possible business, and with a capital of a few thousand pounds he began to speculate in the international market. He nearly lost it all, was helped with a loan from a banker who had never met him but who was impressed by his work during the war, recouped, and went on to roll up a fortune worth then two million dollars. It was all done in the most casual way. Keynes disdained inside information—in fact, he once declared that Wall Street traders could make huge fortunes if only they would disregard their “inside” information—and his own oracles were nothing but his minute scrutiny of balance sheets, his encyclopedic knowledge of finance, his intuition into personalities, and a certain flair for trading. A bed in the morning he would study his items of financial intelligence, make his decisions, phone his orders, and that was that; the day was now free for more important things, like economic theory. He would have gotten along famously with David Ricardo.

He made money, by the way, not only for himself. He became the Bursar of King’s College and turned a small fund of £30,000 into one of £380,000. He managed an investment trust and guided the finances of a life insurance company. But he never did—despite his undergraduate wish—run a railway.

Meanwhile—there was always more than one thing going on at a time with Keynes—he wrote for the *Manchester Guardian*, gave regular classes in Cambridge in which he spiced dry theory with an intimate account of the goings on and personalities of the international commodity marts, bought more pictures, acquired more books and roamed Lydia Lopokova. The ballerina became the wife of the Cambridge don, a new role which,

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somewhat to the surprise (and relief) of Keynes's friends she filled to perfection. She gave up her professional career, of course, but a visiting friend later reported hearing alarming thumps and crashes from above: Lydia was still practicing her art.

She was extremely beautiful; he was altogether the proper admirer, not handsome but tall and dignified. His large, somewhat gawky frame provided a suitable pedestal for a longish, triangular inquisitive face: a straight nose, a clipped mustache held over from Eton days, full, mobile lips, and a rather disappointing chin. The eyes were most revealing; under arching brows they could be grave, icy, sparkling, or "soft as bees' bottoms in blue flowers," as one editor wrote, depending, perhaps, on whether he was acting as government emissary, speculator, Bloomsbury brilliant, or balletomane.

There was one odd mannerism: Keynes liked to sit like an English variant of a Chinese mandarin, with his hands tucked out of sight in the opposing sleeves of his coat. It was a gesture of concealment made all the more curious because of his inordinate interest in other people's hands and his pride in his own. Indeed, he even went to the extent of having casts made of his and his wife's hands and talked of making a collection of casts of his friends'; and when he met a man the first thing he noticed was the character of his palms and fingers and nails. Later, when he first talked with Franklin Roosevelt, he noted down this description of the President:

. . . But at first, of course, I did not look closely at these things. For naturally my concentrated attention was on his hands. Firm and fairly strong, but not clever or with finesse, shortish round nails like those at the end of a business man's fingers. I cannot draw them right, yet while not distinguished (to my eye) they are not of a common type. All the same, they were oddly familiar. Where had I seen them before? I spent ten minutes at least searching my memory as for a forgotten name, hardly knowing what I was saying about silver and balanced budgets and public

works. At last it came to me. Sir Edward Grey. A more solid and Americanized Sir Edward Grey.

It is doubtful whether Roosevelt would have written as he did to Felix Frankfurter: "I had a grand talk with K. and liked him immensely," had he known that he was being summed up in the eyes of the other as a business-man's version of an English Foreign Secretary.

By 1935 it was already a brilliantly established career. The book on Indian Currency and Finance had been a tour de force, albeit a small one, The Economic Consequences of the Peace had made an éclat, and the Treatise on Probability was an equal triumph, although far more specialized. An amusing incident in regard to this last book: Keynes was having dinner with Professor Max Planck, the mathematical genius who was responsible for the development of quantum mechanics, one of the more bewildering achievements of the human mind. Planck turned to Keynes and told him that he had once considered going into economics himself. But he had decided against it—it was too hard. Keynes repeated the story with relish to a friend back at Cambridge. "Why, that's odd, said the friend. "Bertrand Russell was telling me just the other day that he'd also thought about going into economics. But he decided it was too easy."

• Economics was only a side line, as we know; in 1923 a Tract on Monetary Reform again raised the eyebrows of the world. Now Keynes was inveighing against the fetishism of gold, against the peculiar passivity evidenced by men's abdication of conscious control of their own currencies and their transfer of this responsibility to the impersonal mechanism of an international gold standard. Keynes, was a technical book of course, but like all of

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Then to top it off, in 1930 he had published a Treatise

on Money—a long, difficult, uneven, sometimes brilliant and sometimes baffling attempt to account for the behavior of the whole economy. The Treatise was a fascinating book, for it took as its central problem the question of what made the economy operate so unevenly—now bustling with prosperity, now sluggish with depression.

The question, of course, had absorbed the attention of economists for decades. Great speculative crashes aside—like the 1929 bust and its predecessors in history (we have seen one such in eighteenth-century France when the Mississippi Company collapsed)—the normal course of trade seemed to evidence a wavelike succession of expansions and contractions, not unlike a kind of economic breathing. In England, for example, business had been bad in 1801, good in 1802, bad in 1808, good in 1810, bad in 1815, and so on for over a hundred years; in America the pattern was the same although the dates were slightly different.

What lay behind this alternation of prosperity and depression? At first the cycles of business were thought to be a sort of mass nervous disorder: "These periodic collapses are really mental in their nature, depending on variations of despondency, hopefulness, excitement, disappointment, and panic," wrote an observer in 1867. But although such a statement was undoubtedly a good description of the state of mind in Wall Street or Lombard Street, Lancaster or New England, it left unanswered the basic question: What causes such a widespread nervous hysteria?

Some early explanations looked outside the economic process for an answer. W. Stanley Jevons, whose Victorian economics of Pain and Pleasure we have met before, ventured an explanation which pinned the blame on sunspots—not quite so farfetched an idea as it might at first appear. For Jevons was impressed by the fact that business cycles from 1721 to 1878 had an average duration, from boom to boom, of 10.46 years, and that sunspots (which had been discovered in 1801 by Sir William Herschel) showed a periodicity of 10.45 years. The correlation, Jevons was convinced, was too close to be purely

accidental. Sunspots, he thought, caused weather cycles, which caused rainfall cycles, which caused crop cycles, which caused business cycles.

It was not a bad theory—except for one thing. A more careful calculation of the sunspot cycles lengthened their periodicity to eleven years and the neat correspondence between celestial mechanics and the vagaries of business broke down. Sunspots went the way of astronomy and the quest for the motivating factors of business cycles returned to more earthbound considerations.

It returned, as a matter of fact, to an area first bumbly but intuitively pointed out by Malthus a century before—the area of saving.

Perhaps we will remember the doubtings of Parson Malthus—his rather inarticulate feeling that saving could somehow result in a “general glut.” Ricardo had scoffed; Mill had pooh-poohed; and the idea had become part of the paraphernalia of the underworld. To say that saving might be a source of trouble—why, that was impugning thrift itself! It was almost immoral: had not Adam Smith written, ‘What is prudence in the conduct of every private family can scarce be folly in that of a great nation’?

But when the early economists refused to consider that saving might be a stumbling block for an economy, they were not indulging in moral proselytizing; they were only observing the facts of the real world.

For in the early 1800s, by and large those who saved were the very same people as those who put savings to use. In the hard-pressed world of Ricardo or Mill, virtually the only people who could afford to save were wealthy landlords and capitalists, and any sums they scraped together were profitably employed in buying lands or enlarging factory operations. Hence saving was nightly called accumulation,” for it represented a two-sided coin; on the one hand the amassing of a sum of money and on the other hand its immediate employment

more money to build houses or land to make still

Structure of the middle of the 19th century, the nature of the economy changed. The distribution of

wealth improved and along with it the possibility of saving became open to more and more members of society. And at the same time, business became larger and more depersonalized; increasingly it looked for new capital not just in the pockets of its individual manager-owners but also in the anonymous pocketbooks of savers all over the country. Hence saving and investing became divorced from one another—they became separate operations carried out by separate groups of people.

And this did introduce trouble into the economy—Malthus was right after all, although for reasons he had never seen.

The trouble is so important—so central to the problem of depression—that we must take a moment to make it clear.

We must start out by understanding how we measure the prosperity of a nation. It is not by its gold—poverty-stricken India is rich in gold. Nor is it by its physical assets—buildings, mines, factories, and forests did not evaporate in 1932. Prosperity and depression are not so much matters of past glories but of present accomplishments; therefore they are measured by the incomes that we earn. When most of us individually (and therefore most of us collectively) enjoy high incomes, the nation is well off; when our total individual (or national) income drops, we are in depression.

But income—national income—is not a static concept. Indeed the central characteristic of an economy is the flow of incomes from hand to hand. With every purchase that we make, we transfer a part of our incomes into someone else's pocket. Similarly every penny of our own incomes, be it wages, salaries, rents, profits, or interest, ultimately derives from money which someone else has spent. Consider any portion of the income which you enjoy and it will be clear that it has originated from someone else's pocket; when he engaged your services, or patronized your store, or helped maintain the corporation in which you own bonds or stock.

It is by this process of handing money around-taking

in each others wash, it has been described—that the economy is constantly revitalized.

Now to a large extent this process of handling income around takes place quite naturally and without hindrance. All of us spend the bulk of our incomes on goods for our own use and enjoyment—on consumption goods, so-called—and since we go on buying consumption goods with fairly consistent regularity, the handing around of a large portion of our national income is assured. The fact that we must eat and clothe ourselves, and that we crave enjoyment, ensures a regular and steady spending on the part of all of us, and thus further ensures a regular and steady receiving on the part of others.

So far everything is quite simple and direct. But there is one portion of our incomes which does not go directly out onto the market place to become another's income: that is the money we save.

If we tucked our savings into mattresses or hoarded them in cash, we should obviously break the circular flow of income. For then we should be simply freezing some part of the income stream that was handed to us, and returning to society less than it gave to us. If such a freezing process were widespread and continued, there would soon be a cumulative fall in everybody's money income, as less and less was handed around at each turn. We should be suffering from a depression.

But this dangerous break in the income flow does not in fact take place. For in a civilized community we do not freeze our savings. We put them into stocks or bonds or banks and in this way make it possible for them to be used again. Thus, if we buy new stock we give our savings directly to business; if we put our savings in a bank they can be used on loan by businessmen who seek capital. Whether we bank our savings or use them to buy insurance or securities, the channels exist for those savings to go back into circulation via the activities of business.

But the savings are taken up and spent by business, and so turn up as someone's wages, someone's salary or someone's profit.

But—and notice this vital fact—there is nothing auto-

maUc about this savings-investment channel. Business does not ordinarily need savings to carry on its operations—it works within its regular budget and pays its expenses 10 m the proceeds of its sales. Business only needs savings

wiB 1S/Xprmifng its. °peration—for its regular receipts w 1 not usually provide it with enough capital to build a new factory or to add substantially to its equipment.

And here is where the trouble enters. A thrifty com-munity will always attempt to save some part of its in-come. But business is not always in a position to expand its operations. To take an obvious case, it is apparent that the days of great expansion for the radio industry—as contrasted with the television industry—are pretty much a thing of the past. Now if—for reasons we must look into later—all industry is in the position of the radio industry, then obviously investment will be very small.

And therein lies the possibility of depression. If our savings do not become invested by expanding business firms, our incomes must decline. We should be in the same spiral of contraction as if we had frozen our savings by hoarding them.

Can such an eventuality come to pass? We shall see. But note meanwhile that this is a strange and passionless tug of war. Here are no greedy landlords, no avaricious capitalists. There are only perfectly virtuous citizens pru-dently attempting to save some of their incomes, and perfectly virtuous businessmen who are just as prudently making up their minds whether the business situation warrants taking the risk of buying a new machine or building a new plant. And yet, on the outcome of those two sensible decisions the fate of the economy hangs. For if the decisions are out of joint—if businessmen invest less than the community tries to save, for example—then the whole economy will have to readjust to the crimp of depression. The enormous question of boom or slump depends—more than on anything else—on this.

The vulnerability of our fate to the seesaw of savings and investment is, in a sense, the price we pay for eco-nomic freedom. There is no such problem in Soviet Russia nor was there such in the Egypt of the Pharaohs. For in

economies of edict both savings and investment are determined from above, and a total control over the nation's entire economic life ensures that the nation's savings will be just the right amount to finance its pyramids or power plants. But not so in a capitalist world. For there both the decision to save and the impetus to invest are left to the free decisions of the economic actors themselves. And because those decisions are free, they can be out of joint. There can be far too little investment to absorb our savings or far too little saving to support our investment. Economic freedom is a highly desirable state—but in bust and boom we must be prepared to face its possible consequences.

We have almost lost sight of John Maynard Keynes and the *Treatise on Money*. But not quite. For the *Treatise* was a sparkling exposition of this seesaw of savings and investment. The idea was not original with Keynes—a long list of important economists had already pointed to the critical roles of these two factors in the business cycle. But, as with everything that Keynes touched, the bare abstractions of economics took on a new luster in his prose. Thus:

It has been usual to think of the accumulated wealth of the world as having been painfully built up out of that voluntary abstinence of individuals from the immediate enjoyment of consumption, which we call Thrift. But it should be obvious that mere abstinence is not enough by itself to build cities or drain fens. ... It is Enterprise which builds and improves the world's possessions. ... If Enterprise is afoot, wealth accumulates whatever may be happening to Thrift; and if Enterprise is asleep, wealth decays whatever Thrift may be doing.

But for all its masterful analysis, no sooner had Keynes written the *Treatise* than, figuratively, he tore it up. For the seesaw theory of savings and investment failed at one central point: it did not explain how an economy

could remain in a state of prolonged depression. Indeed as the very analogy of the seesaw indicates, it seemed as if an economy which was weighted down by surplus

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For savings and investment-Thrift and Enterprise-were not utterly unconnected economic activities. On the contrary, they were tied together in the market where businessmen ^bought savings-or at least borrowed them: the money market. Savings, like any other commodity, had its price: the rate of interest. Therefore (so it seemed), at the bottom of a slump when there was a Hood of savings, its price should decline-exactly as when there was a glut of shoes, the price of shoes declined. And as the price of sayings cheapened-as the rate of interest went down—the incentive to invest appeared very likely to increase: if a new factory was too expensive to build when the money for it would cost six per cent, might it not look much more profitable when the money could be had for a payment of only three per cent?

Hence the seesaw theory seemed to promise that there would be an automatic safety switch built right into the business cycle itself; that when savings became too abundant, they would become cheaper to borrow, and that thereby business would be encouraged to invest. The economy might contract, said the theory, but it seemed certain to rebound.

But that was exactly what failed to happen in the Great Depression. The rate of interest declined, but nothing happened. The old nostrums were trotted out—a pinch of local relief and a large dose of hopeful waiting—and still the patient failed to improve. For all its intellectual elegance, something was patently missing from the neat formulation of the swing of savings and investment with the rate of interest always hovering over the seesaw to see that it was kept in motion. Something else must be holding the economy back.

Keynes’s master book had been brewing for some time. “To understand my state of mind,” he had written to

George Bernard Shaw in 1935—he had just reread Marx and Engels at Shaw’s suggestion and found them little to his liking, “. . . you have to know that I believe myself to be writing a book on economic theory which will largely revolutionize—not, I suppose at once, but in the course of the next ten years—the way the world thinks about economic problems. . . . I can’t expect you or anyone else to believe this at the present stage. But for myself I don’t merely hope what I say—in my own mind. I’m quite sure.”

He was, as usual, quite right. The book was to be a bombshell. Yet it is very doubtful whether Mr. Shaw would have recognized it as such had he attempted to digest it. It had a forbidding title, *The General Theory of Employment, Interest, and Money*, and a still more forbidding interior: one can imagine Shaw goggling on page 25 at “Let Z be the aggregate supply price of the output from employing N men, the relationship between Z and N being written $Z = f(N)$, which can be called the Aggregate Supply Function.” And if this were not enough to frighten off almost anyone, there was a great dearth of that panorama of social action which the layman had come to expect from a perusal of Smith or Mill or Marx. This was an endless desert of economics, algebra, and abstraction, with trackless wastes of the differential calculus and only an oasis here and there of delightfully refreshing prose.

And yet the book was revolutionary: no other word will quite do. It stood economics as decisively on its head as Had such other revolutionary works as the *Wealth of Nations* or *Das Kapital*. 7

For the book had a startling and dismaying conclusion. No automatic safety mechanism after all!

or down, but it could also be standing perfectly Sill And it was just as capable of standing still on the Ground'

floor

“could Ue pros-

But how could this be? Would not the flood of savings

at the bottom of the slump push down the rate of interest and would this not in turn interest business in the possibility of using cheap money to expand its plant?

Keynes found the solution to the problem in the simplest and most obvious (once it had been pointed out) fact of economic life: there would be no flood of savings at the bottom of the trough. For what happened when an economy went into an economic tailspin was that its income contracted, and what happened as its income contracted was that its savings were squeezed out. How could a community be expected to save as much when everyone was hard up as when everyone was prosperous, asked Keynes. Quite obviously, it could not. The result of a depression would not be a glut of savings, but a drying-up of savings; not a flood of saving, but a trickle.

And so it was, in fact. In 1929 the American private citizenry put aside \$3.7 billions out of its income; by 1932 and 1933 it was saving nothing—in fact it was even drawing down its old savings made in the years before. Corporations, which had tucked away \$2.6 billions at the top of the boom after paying out taxes and dividends, found themselves losing nearly \$6 billions three years later. Quite obviously Keynes was right: saving was a kind of luxury which could not withstand hard times.

But the practical consequence of that decline in saving was more portentous than the individual tragedies which accompanied it. It resulted in a paralyzing situation where the economy was in perfect economic balance, even though it was in the throes of social agony. For if there was no surplus of savings, there would be no pressure on interest rates to encourage businessmen to borrow. And if there was no surplus of investment (and the very essence of depression, as we have seen, is that investment is not large enough), then there would be no impetus for expansion. The economy would not budge an inch.

Thus the paradox of poverty amidst plenty and the anomaly of idle men and idle machines. To be sure, at the bottom of a slump there is a heartless contradiction between a crying need for goods and an insufficiency of production. But the contradiction is purely a moral one.

For the economy does not operate to satisfy human wants—wants are always as large as dreams. It turns out goods to satisfy demand—and demand is as small as a person's pocketbook. Hence the unemployed are little more than economic zeros; they might as well be on the moon for all the economic influence they exert on the market place.

Once investment has declined and the economy has shrunk in size, social misery appears. But not—as Keynes points out—effective social misery: the nation's conscience will not do as an effective substitute for enough investment. And since savings decline along with investment, the economic flow turns over evenly, quite unperturbed by the fact that it is smaller than it used to be.

A peculiar state of affairs, indeed: a tragedy without a villain. No one can blame society for saving, when saving is so apparently a private virtue; it is equally impossible to chastise businessmen for not investing when no one would be so happy to comply as they—if they saw a reasonable chance for success. No, the difficulty is no longer a moral one; this is no question of justice, exploitation, or even human foolishness. It is a technical difficulty, almost a mechanical fault. But its price is no less high for all of that. For the price of inactivity is unemployment.

But worse follows. Keynes had explained how an economy in the trough of depression could fail to generate its own automatic recovery. That was gloomy enough. But when you turned the Keynesian proposition around, it spelled trouble at the top of the business cycle as well.

For just as savings contracted when the economy contracted, so they would expand when the economy expanded. And that simple fact had a frightening consequence: every boom was constantly threatened with collapse. For if at any time investment spontaneously slowed down, the nation's swollen savings

would fall on the hands of the business community; the chain of landing contraction would begin. Process of

the economy hung on the investment which business carried out. When investment was low, the economy shrank in size; when

investment was high, it pulled the nation up with it- if investment failed to remain high, it permitted the process of contraction to begin again. Riches and poverty boom and slump, all depended on the willingness of business

And here was the most indigestible fact of all. The willingness to invest could not go on indefinitely. Sooner or later, investment was bound to contract

For at any time, an industry is limited by the size of the market to which it caters. Let us take the example of the railroads in the 1860's-a time of vast investment in new railroad lines. The early railway magnates were not building for the markets of 1960; had they proceeded to lay the trackage the economy would need a hundred years hence, they would have been building lines to nonexistent cities in uninhabited territory. So they built what could be used—and then they stopped. Similarly with the auto industry. Even if Henry Ford had been able to find the capital to build the present-day River Rouge plant in 1910, he would have gone bankrupt in a hurry: the roads, the gas stations, the demand for that many cars were simply lacking. Or to bring the matter to the present, the country's utility plants are now spending \$8 billions a year to add to their capacity; but they cannot spend \$80 or even \$18 billions—although someday they may have to.

. no one could use that much power.

Not only is investment limited in size, but typically it proceeds in spurts. You cannot build a railway line mile by mile to keep pace with demand: you build one entire line at a time. You cannot enlarge an auto plant piecemeal beyond a certain size: then you must build an entirely new plant. And having built that line, having constructed that plant, you have satisfied the market for a time. You cease investing.

Ancient Egypt [wrote Keynes] was doubly fortunate and doubtless owed to this its fabled wealth, in that it possessed two activities, namely pyramid-building and the search for the precious metals, the fruits of which, since they could not serve the needs of man

by being consumed, did not stale with abundance. The Middle Ages built cathedrals and sang dirges. Two pyramids, two masses for the dead are twice as good as one; but not so two railways from London to York.

And so investment typically has its pattern: at first eagerness to take advantage of a new opportunity; then caution lest enthusiasm lead to overbuilding; then inactivity when the market has been satisfied for the time being.

If, as each separate investment project came to a halt, another immediately appeared, there need never be a slump. But such is not likely to be the case. The mere fact that human wants are vast does not mean that any investment will pay for itself: the economy is littered with businesses which have died of rash and foolhardy overexpansion. Most investment needs more than the stimulus of sanguine expectations; it needs something more concrete: some new invention, some better way of doing things, some intriguing product to catch the public eye. And such opportunities, as any businessman will tell you, are not always there.

Hence when one investment project dies, there may not be another ready to step into the breach. If there is—if investment maintains its size, although it changes its composition—the economy, will sail smoothly along. But if there is no ready substitute for each investment casualty the pressure of savings will make itself felt and contraction will begin. And needless to say, investment does not thrive in such a dwindling market.

was the gloomy diagnosis of The General

First that an economy in depression might well stay
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Second, that prosperity depended on investment ■ for
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And third, that investment was an undependable drive

u-heel for the economy: through no fault of the business-
man it was constantly threatened with satiety, and satiety
spelled economic shrinkage.

In a word, the economy lived in the shadow of collapse.

Certainly it was a morbid outlook. But it would have
been utterly unlike Keynes to content himself with mak-
ing a diagnosis of gloom and letting it go at that. With
all its prophecy of danger. The General Theory was never
meant to be a book of doom. On the contrary, it held out
a promise and it proposed a cure.

As a matter of fact, the cure had begun before its actual
prescription was written; the medicine was being applied
before the doctors were precisely sure what it was sup-
posed to do. The Hundred Days of the New Deal had
enacted a flood of social legislation that had been backing
up for twenty years behind a dam of governmental
apathy. These laws were meant to improve the social
tone, the morale, of a discontented nation. But it was
not social legislation which was designed to revitalize the
patient. That tonic was something else: the deliberate
undertaking of government investment.

It be gan not so much as investment as makeshift work-
relief. Unemployment had reached the point at which
some sort of action was dictated by pure political neces-
sity-after all, this was a time when there had recently
been riots in Dearborn and a ragged march on Washing-
ton, when families huddled for warmth in municipal
incinerator buildings and even scrabbled for food in
garbage trucks. Relief was essential and began under
Hoover; then under Roosevelt relief turned into leaf-
raking, and leaf-raking turned into constructive enterprise.
The government was suddenly a major economic investor
itself: roads, dams, auditoriums, airfields, harbors, and
housing projects blossomed forth.

Keynes came to Washington in 1934—this was when
he made his notes on the impression of President Roose-
velt's hands—and urged that the program be extended
further. The statistics showed that the bottom had fallen
out of private investment activity: business expansion.

which had pumped out \$15 billions in wages and salaries and profits in 1929, had fallen to the appalling figure of \$886 millions in 1932—a drop of ninety-four per cent. Something had to start up the investment motor which pulled the economic car up the shaft, and he hoped that government spending would act as such a stimulus by bolstering the nations general buying power—“priming the pump” it was called in those days.

Hence when *The General Theory* came out in 1936, what it offered was not so much a new and radical program as a defense of a course of action which was already being applied. A defense and an explanation. For *The General Theory* clearly pointed out that the catastrophe facing America and, indeed, the whole Western World, was only the consequence of a lack of sufficient investment on the part of business. And so the remedy was perfectly logical: if business was not able to expand, the government must take up the slack.

With his tongue only partly in his cheek Keynes had written:

If the Treasury were to fill old bottles with bank notes, bury them at suitable depths in disused coal mines which are then filled up to the surface with town rubbish, and leave it to private enterprise on well tried principles of *laissez-faire* to dig the notes up again . . . there need be no more unemployment and with the help of the repercussions, the real income of the community would probably become a good deal larger than it is. It would, indeed, be more sensible to build houses and the like; but if there are practical difficulties in the way of doing this, the above would be better than nothing.

To some it no doubt appeared that many of the more unorthodox WPA projects were no more sane than Keynes's whimsical proposal. But now, at least, they had u“behind them; if Private enterprise found itself investment, then the government must fill in „°gbe»”

could—the need for stimulation of some sort was so important that: almost anything was better than nothing

And if investment could not be directly stimulated why then, at least consumption could. For while investment was the capricious element in the system consumption provided the great floor of economic activity hence the WPA projects were thought to attack the problem with a two-edged sword: by directly helping to sustain the buying power of the otherwise unemployed, and by leading the way for a resumption of private business expansion.

Keynes himself in a letter to *The New York Times* in 1934 wrote, "I see the problem of recovery in the following light: How soon will normal business enterprise come to the rescue? On what scale, by which expedients, and for how long is abnormal government expenditure advisable in the meantime?,">

Note abnormal. Keynes did not see the government program as a permanent interference with the course of business or as anything but a helping hand to a system that had slipped and was struggling to regain its balance.

It seemed the essence of common sense; in fact it was the essence of common sense. And yet the pump-priming program never brought the results that the planners had hoped for. Total government spending, which had hovered at the \$ 10-billion level from 1929 until 1933, rose to \$12 billions, to \$13 billions, then to \$15 billions in 1936. Private investment picked itself up from the floor and recovered two-thirds of its loss: private firms invested \$10 billions by 1936. The national income and national consumption rose by fifty per cent after three years of government injections. And yet unemployment lingered on; it was manageable now, but there were still at least 9 million out of work—hardly a mark of a new economic era.

There were two reasons why the cure did not work better. First, the government program of investment was never carried out to the full extent that would have been necessary to bring the economy up to full employment. Later, in the Second World War, government spending

rose to the monumental figure of \$103 billions: that brought not only full employment, but inflation. But within the framework of a peacetime economy in the thirties, such all-out spending was quite impossible; indeed, even a modest program of government investment soon brought murmurs that Federal power was overstepping its traditional bounds.

The second reason is closely allied with the first. Neither Keynes nor the government spenders had taken into account that the beneficiaries of the new medicine might consider it worse than the disease. Government investment was meant as a helping hand for business. It was interpreted by business as a threatening gesture.

Nor is this surprising. The New Deal had swept in on a wave of antibusiness sentiment; values and standards that had become virtually sacrosanct were suddenly held up to skeptical scrutiny and criticism. The whole conception of "business rights," "property rights," and the "role of government" was rudely shaken; within a few years business was asked to forget its traditions of unquestioned pre-eminence and to adopt a new philosophy of cooperation with labor unions, acceptance of new rules and regulations, reform of many of its practices. Little wonder that it regarded the government in Washington as inimical, biased, and downright radical. And no wonder, in such an atmosphere, that its eagerness to undertake large-scale investment was dampened by the uneasiness it felt in this unfamiliar climate.

Hence every effort of the government to undertake a program of sufficient magnitude to mop up all the unemployed—perhaps a program twice as large as it did in fact undertake—was assailed as further evidence of socialist design. And at the same time, the halfway measures which the government did employ were just enough to lighten business away from the undertaking of a full-scale effort by itself. It was a situation not unlike that found in medicine; the medicine cured the patient of one illness, only to weaken him with its side effects. Government spending never truly cured the economy—not be-

cause it was economically unsound, but because it was ideologically upsetting.

It was not meant to be upsetting; it was a policy born of desperation rather than design. Had the government not begun to open the valve of public investment, eventually private business would surely once again have led the way: it always had in the past, and despite the severity of the Great Depression, it would in time unquestionably have found new avenues of adventure. But it was impossible to wait. The American people had waited for four long years, and they were in no mood to wait much longer. Not only were there disturbances in the land, but there were troubling voices in the air. The voice of Marx rang louder than it ever had in the past; many pointed to the unemployed as prima-facie evidence that Marx was right. The mumble of Veblen was discernible in the faddish vogue of the technocrats who wanted to call out not the proletariat but the engineers. And there was the still more chilling voice that never wearied of pointing out that Hitler and Mussolini knew what to do with their unemployed. In this welter of remedies and advocacy of desperate action, the voice of *The General Theory*, the gentlemanly tones of Keynes, were certainly moderate and reassuring.

For while Keynes espoused a policy of managing capitalism, he was no opponent of private enterprise. "It is better that a man should tyrannize over his bank-balance than over his fellow citizens," he had written in *The General Theory*, and he went on to state that if the government would only concern itself with providing enough investment, the working of the vast bulk of the economy could and should be left to private initiative. In review, *The General Theory* was not a radical solution; it was, rather, an explanation of why an inescapable remedy should work. If an economy in the doldrums could drift indefinitely, the price of government inaction might be graver by far than the consequences of bold unorthodoxy.

The real question was a moral, not an economic one. During the Second World War, Professor Hayek wrote

a book *The Road to Serfdom*, which, for all its exaggerations, contained a deeply felt and sincere indictment of the overplanned economy. Keynes sympathized with and liked the book. But while praising it, he wrote to Hayek:

I should . . . conclude rather differently. I should say that what we want is not no planning, or even less planning, indeed I should say we almost certainly want more. But the planning should take place in a community in which as many people as possible, both leaders and followers, wholly share your own moral position. Moderate planning will be safe enough if those carrying it out are rightly oriented in their own minds and hearts to the moral issue. This is in fact already true of some of them. But the curse is that there is also an important section who could be said to want planning not in order to enjoy its fruits, but because morally they hold ideas exactly the opposite of yours, and wish to serve not God but the devil.

Is this, perhaps a naive hope? Can capitalism be managed—in the sense that government planners will turn the faucet of investment on and off in such a way as to supplement, but never to displace, private investment? Certainly this is one of the central issues of today. But let us postpone discussion of it to the coming chapter.

For here we are dealing with the man Keynes and his beliefs, however misguided, idealistic, impractical, or salutary we may value them. And it would be a grave error in judgment to place this man, whose aim was to rescue capitalism, in the camp of those who want to submerge it. True, he urged the socialization of investment; but if he sacrificed the part, it was to save the whole.

For at heart he was a conservative and not much inclined to mask the fact. “How can I accept the [communitistic] doctrine,” he had written in 1931 —when the point was by no means so clear to many others, “which sets up as its bible, above and beyond criticism, an obso-

lete textbook which I know not only to be scientifically erroneous but without interest or application to the modern world? How can I adopt a creed which, preferring the mud to the fish, exalts the boorish proletariat above the bourgeoisie and the intelligentsia, who with all their faults are the quality of life and surely carry the seeds of all human achievement?"

No, one might quibble with his theories, with his diagnosis, and with his cure—although, in justice, it must be said that no more thoughtful theory, no profounder diagnosis, and no more convincing cure has yet been propounded by those who insist that Keynes was only a mischievous meddler with a system that worked well enough. But no one could gainsay his aim: the creation of a capitalist economy in which unemployment—the single greatest and gravest threat to its continuance—would be forever eliminated.

He was a man incapable of doing only one thing at a time. While he was constructing *The General Theory* in his mind, he was building a theater in Cambridge with his pocketbook. It was a typically Keynesian venture. Starting at a loss, the theater was in the black in two years, and its artistic success was immense. Keynes was everywhere at the same time: financial backer, ticket taker (on one occasion when the clerk failed to materialize), husband of the leading lady (Lydia acted in Shakespeare, with extremely good notices), even concessionaire. He attached a restaurant to the theater and jealously watched its receipts, graphing them against different types of entertainment to ascertain how food consumption varied with the state of one's humor. There was a bar, too, where champagne was sold at a specially low discount to promote its wider consumption. It was probably the most pleasant interlude in his pleasant life.

But it did not go on for long. In 1937 his success story was cut short; he suffered a heart attack and was forced into idleness. Well—comparative idleness. He continued to do an active trading business and to edit the *Economic Journal* and to write a few brilliant articles in defense of

Economic

The General Theory. One academician had said, upon its appearance, "Einstein has actually done for Physics what Mr. Keynes believes himself to have done for Economics," and Keynes was not a man to let someone get away with that. When he wanted to, he could wield an acid pen, and he now set to work systematically to demolish his critics, singly and en masse; sometimes with sarcasm, occasionally with brilliance, and not infrequently with petulance: "Mr. X refuses to understand me," seemed to rise like a sigh of despair from many of his brief communications.

But the war was approaching; Munich was followed by worse. Keynes watched in indignation the pusillanimous letters of some Left-wingers to the *New Statesman and Nation*, on whose board he managed to find time to serve. He wrote to its columns: "Surely it is impossible to believe that there can really be such a person as 'A Socialist'! I disbelieve in his existence," and then, "When it comes to a showdown, scarce four weeks have passed before they remember that they are pacifists and write defeatist letters to your columns, leaving the defence of freedom and civilization to Colonel Blimp and the Old School Tie, for whom Three Cheers."

When the war came, Keynes was too ill to be a permanent member of the government. They gave him a room in the Treasury and picked his brains. He had already written another book, *How to Pay for the War*, a daring plan that urged deferred savings as the principal means of financing the war. The plan was simple—a portion of every wage earners pay would automatically be invested in government bonds which would not be available for redemption until after the war. Then, just when consumer buying would again be needed, the savings certificates could be cashed.

Compulsory saving—what a change from his earlier efforts to achieve a kind of compulsory investment! But the change was in the times and not in Keynes's thinking. The old problem had been too little investment and the symptom had been unemployment. The new problem was too much investment—an all-out armament effort—

and its symptom was inflation. But the framework of *The General Theory* was as useful in understanding inflation as it had been in understanding inflation's opposite—unemployment. Only it was upside down. Now more and more incomes were being handed out with each turn of the wheel, instead of less and less. Now savings were far short of what was needed to balance out the flow of income, instead of being embarrassingly large.

. Accordingly, the cure was the opposite of the depression tonic. Then Keynes had urged that investment be bolstered by every possible means; now he urged that savings must be increased.

. The point is important because many have mistakenly judged Keynes as an economist who favored inflation. He did favor reflation" (a pumping-up of incomes and not prices) from the depths of the depression. But to think that he favored inflation for inflation's sake was to disregard such a passage as this from *The Economic Consequences of the Peace*:

Lenin is said to have declared that the best way to destroy the Capitalist System was to debauch the currency. By a continuing process of inflation, governments can confiscate, secretly and unobserved, an important part of the wealth of their citizens. By this method they not only confiscate, but they confiscate arbitrarily. . . . Lenin was certainly right. There is no subtler, no surer means of overturning the existing basis of society than to debauch the currency. The process engages all the hidden forces of economic law on the side of destruction, and does it in a manner which not one man in a million is able to diagnose.

But despite its logic and its appeal—Keynes made much of the fact that his deferred savings plan would serve to widen the distribution of wealth by making everyone an owner of government bonds—the plan failed to arouse much support. It was too new; the old methods of taxation and rationing and voluntary-savings drives were

tried and trusty weapons of war finance. A defell'e^ed scheme was tacked on as an ornamental flounsh bu was never given the central place Keynes had envisaged

for it

°But he had no time to lament its cool reception; he was now fully embroiled fn the British war effort. In 1941 he flew via Lisbon to the United States. It was to be the first of six such trips; Lydia went with him as his nuise and guardian. Ever since his first heart attack she had assumed the role of timekeeper for her indefatigable husband and many a dignitary had been politely but firmly ushered out at the expiration of his allotted stay.

"Time, gentlemen," said Lydia, and business stopped.

His trips to the United States involved the precarious problems of Britain's war finance and the overhanging question of what was to happen in the terrible postwar interim. Britain was not the only one concerned; the United States, as well, wanted to lay the foundation for a flow of international trade which would avoid the desperate financial warfare which had already led to physical warfare. An International Bank and an Inter- nation Monetary Fund were to be established which would act as guardians of the international flow of money; in place of the old dog-eat-dog world where each nation sought to undercut everyone else, there would be a new cooperative effort to help out a nation which found itself in monetary difficulties.

The final conference was held at Bretton Woods. Keynes, despite his illness and fatigue, clearly dominated the conference; not when it came to winning all his points, for the final plan was far closer to the American proposals than to the British, but by virtue of his personality. One of the delegates gives us an insight into the man in this entry in his journal:

This evening, I participated in a particularly re- cherche celebration. Today is the 500th anniversary of the Concordat between King's College, Cam- bridge, and New College, Oxford, and to commemo- rate the occasion, Keynes gave a small banquet in

his woman, ' * ■ Keres' who had been looking forward to the event for weeks as excitedly as a schoolboy, was at his most charming. He delivered an exquisite allocution.... It was an interesting example of the curiously complex nature of this extraordinary man. So radical in outlook in matters purely intellectual, in matters of culture he is a true Burkean conservative. It was a very pianissimo, as befitting the occasion, but his emotion when he spoke of our debt to the past was truly moving.

of John Maynard Keynes his final speech at the conclusion of the conference- If we can continue in a larger task

that this Wednesday there is hope for the world —the delegates rose and cheered him.

As always, his major efforts did not preclude a few minor ones. He was made a Director of the Bank of England (Which will make an honest woman of the other is anyone's guess," he had declared) and chairman of a new committee on the music and arts which had been established, like the English universities, under the aegis of the government. Thus, while he was carrying the weight of presenting Britain's point of view to an international economic council, he was also keeping up a stream of correspondence on music travelers, the Vic-Wells Ballet, poetry reading, and library exhibits. And of course he kept on collecting; he scooped the Folger Library on a rare volume of Spenser and explained a little guiltily to the librarian that he had used the Foreign Office bag to have the catalogue sent over to him.

And the honors started to pour in. He was elevated to the peerage: he was now Lord Keynes, Baron of Tilton, an estate which he had bought in middle life only to discover to his delight that one of the branches of the Keynes line had once owned these lands. There were honorary degrees to be accepted at Edinburgh, at the Sorbonne, and from his own university. There was an appointment to the Board of Trustees of the National Gallery. And still there was work: the first loan to Britain had to be negotiated and Keynes, of course, was given

the task of presenting Britain's viewpoint. When he returned from that trip and a reporter asked him if it were true that England was now to be the forty-ninth state, Keynes's reply was succinct: "No such luck."

In 1946 the ordeal was over. He went back to Sussex to read and relax and prepare for a resumption of teaching at Cambridge. One morning there was a fit of coughing; Lydia flew to his side; he was dead.

The services were held in Westminster Abbey. His father, John Neville Keynes, aged ninety-three, and his mother, Florence, walked up the aisle. For all their sorrow, few parents could have wished for more in a son. The country mourned the loss of a great leader, gone just at a time when his acumen and wisdom were most needed; as the Times said in a lengthy obituary on April twenty-second, "By his death the country has lost a great Englishman."

He was not an angel by any means. This most sparkling of the great economists was only a human being, albeit a remarkable one, with all the faults and foibles of any person. He could win twenty-two pounds from two countesses and a duke at bridge and crow delightedly; he could also undertip a bootblack in Algiers and refuse to rectify his error saying, of all things, "I will not be a party to debasing the currency." He could be extraordinarily kind to a slow-thinking student (economists, he said, should be humble, like dentists) and obnoxiously cutting to a businessman or high official to whom he happened to take an intuitive dislike. Sir Harry Goshen the chairman of the National Provincial Bank, once rubbed Keynes wrong by urging that "we let matters take their natural course." Keynes replied, "Is it more appropriate to smile or rage at these artless sentiments?"

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Keynes himself gave the clue to his own genius-although he was not at the time writing about himself. Dtscusnug his old teacher Alfred Marshall (whom he both loved and rather lovingly derided as "an absurd

old man”), Keynes spelled out the qualifications for an economist:

The study of economics does not seem to require any specialized gifts of an unusually high order. Is it not, intellectually regarded, a very easy subject compared with the higher branches of philosophy or pure science? An easy subject, at which very few excel. The paradox finds its explanation, perhaps, in that the master-economist must possess a rare combination of gifts. He must be mathematician, historian, statesman, philosopher—in some degree. He must understand symbols and speak in words. He must contemplate the particular in terms of the general, and touch abstract and concrete in the same flight of thought. He must study the present in the light of the past for the purposes of the future. No part of man’s nature or his institutions must lie entirely outside his regard. He must be purposeful and disinterested in a simultaneous mood; as aloof and incorruptible as an artist, yet sometimes as near the earth as a politician.

Marshall—as Keynes says—only approximated that ideal, for Victorian that he was, his economics lacked the necessary iconoclasm to give it deep social penetration. Keynes came closer: the Bloomsbury attitude of “nothing sacred” spilled over into the sacred precincts of economic orthodoxy; once again the world was put into focus by a man not so blind as to fail to see its sickness, and not so emotionally and intellectually dispossessed as to wish not to cure it. If he was an economic sophisticate, he was politically devout, and it is in this curious combination of an engineering mind and a hopeful heart that his greatness lies.